

capital would be minimal. Hence, income could be thought of as freely distributed earnings. This means that an owner of a media company possessed a perpetual annuity that would grow at 6 percent for the foreseeable future without the need of any additional capital. Compare that, Buffett suggests, to a company that is able to grow only if capital is reinvested. If you owned a media company that earned \$1 million and expected to grow at 6 percent, it would be appropriate, says Buffett, to pay \$25 million for this business (\$1 million divided by a risk-free rate of 10 percent less the 6 percent growth rate). Another business that earned \$1 million but could not grow earnings without reinvested capital might be worth \$10 million (\$1 million divided by 10 percent).

If we take this finance lesson and apply it to Cap Cities, the value of Cap Cities increased from \$203 per share to \$507, or a 66 percent margin of safety over the \$172.50 price that Buffett agreed to pay. But there were a lot of “ifs” in these assumptions. Would Murphy be able to sell a portion of Capital Cities/ABC combined properties for \$900 million? (He actually got \$1.2 billion.) Would he be able to improve operating margins at American Broadcasting Companies? Would he be able to continually count on the growth of advertising dollars?

Buffett’s ability to obtain a significant margin of safety in Capital Cities was complicated by several factors. First, the stock price of Cap Cities had been rising over the years. Murphy and Burke were doing an excellent job of managing the company, and the company’s share price reflected this. So, unlike GEICO, Buffett did not have the opportunity to purchase Cap Cities cheaply because of a temporary business decline. The stock market, which had been steadily rising, didn’t help, either. And, because this was a secondary stock offering, Buffett had to take a price for Cap Cities’ shares that was close to its then-trading value.

If there was any disappointment over the issue of price, Buffett was comforted by the quick appreciation of those same shares. On Friday, March 15, 1985, Capital Cities’ share price was \$176. On Monday afternoon, March 18, Capital Cities announced it would purchase American Broadcasting Companies. The next day, by market close, Capital Cities’ share price was \$202.75. In four days, the price had risen 26 points, a 15